

complaint

Mr M and Mrs Q complained because International Insurance Company of Hannover SE ("IICH") declined their home insurance claim.

background

Mr M and Mrs Q made their claim after discovering water damage and mould under their carpet. IICH declined the claim as it felt the damage wasn't caused by one of the insured events listed in the policy. It also pointed out that damage caused gradually and damage caused by rot was specifically excluded from cover.

my provisional findings

I issued a provisional decision which explained why I didn't think the complaint should be upheld. The relevant parts of that decision are outlined below.

- As the damage Mr M and Mrs Q claimed for was caused by water, the only events covered by the policy that could have caused the damage were:
 - storm
 - flood, or
 - water leaking/escaping from a water or drainage installation, appliance or fish tank.

I hadn't seen anything which showed the damage was caused by storm. And no-one who inspected the damage found any evidence of a water leak. So the outcome of the complaint turned on whether it had been shown the damage was caused by flood.

- Five experts inspected the damage and provided an opinion on the possible cause. They commented:
 - cause of damage is rot to the flooring
 - heavy mould growth; no standing water in the void underneath the floor; believe there's been an ingress of water from outside as an air brick is level with the soakaway drain
 - cause of rot appears to be a combination of insufficient ventilation, evaporation in the void underneath the floor and water ingress through the air vents; external ground level too high compared to the air bricks which might result in water entering the void underneath the floor
 - moisture ingress appears to be due to inadequate ventilation below the floor
 - the ventilation under the floor is restrictive and ineffective; an air brick is low and might be allowing rain water to seep into the void underneath the floor.
- I felt the experts were broadly in agreement in that the flooring was damaged by rot due to water ingress into the void underneath the floor and poor ventilation within the void. The positioning of an air brick (or bricks) appeared to be a cause of the water ingress.
- I thought it was fair to say that a flood was a build-up of water that sits on top of the ground for a period of time. I didn't think the cause of the flood had to be a sudden and violent event; it could be caused slowly and steadily.
- But whatever the cause, there needed to be a build-up of water that sat on top of the ground for a period of time. And I hadn't seen anything in this case which showed that

had happened. Water might have entered the void underneath the floor which caused the void to be damp which in turn caused the rot/damage. But there was nothing to suggest the water built up and remained there to the extent that the void 'flooded'. There was also nothing to identify a specific flood – rather than just general water ingress.

- Overall, I didn't think it had been shown that the damage was caused by flood (or by any other insured event). So I thought IICH had treated Mr M and Mrs Q fairly when it declined their claim.
- Reference had been made to the policy excluding damage caused gradually or by rot. That sort of damage was excluded, but I didn't think it was relevant to the outcome of this case because exclusions only applied once it's shown that an insured event caused the damage. And I didn't think that had been shown here.

responses my provisional decision

Mr M and Mrs Q didn't accept my provisional decision. They said the policy covered them for water ingress from outside ie flood. They added that there appeared to be a consensus that water ingress from outside was the main cause of the soil under the floor being damp to the extent that it led to rot occurring. They said there was no standing water underneath the floor as the ground was soil. The ingress of water simply led to the soil remaining damp. Ultimately, Mr M and Mrs Q felt the expert opinions regarding the water ingress were sufficient to show that this met our definition of flood.

IICH agreed with my provisional decision and said it had nothing further to add.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

For any insurance claim, it's a requirement in the first instance for the policyholder to 'prove their claim' by showing that they've suffered a loss due to something covered by their policy. For home insurance, that means the policyholder has to show that an insured event occurred and that it caused the loss. If the policyholder can't meet this requirement the insurer doesn't have to consider the claim.

The essence of my provisional decision was that Mr M and Mrs Q hadn't shown that flood caused the damage. I'm satisfied that my conclusion was in line with the definition of flood mentioned on our website. Mr M and Mrs Q said the definition makes no reference to there having to be a build-up of water that sits on top of the ground for a period of time. It's true that this isn't mentioned. But in my opinion it's common sense that there's only a flood if there's standing water sitting on top of the ground. It's not a flood if water just soaks into the ground without settling or building – it's just wet ground.

There's no dispute there was water ingress into the floor void. But that water ingress isn't in itself flood. It's possible the water entered the void and sat on top of the ground for a period of time – which would be flood. But there's no evidence of that. It's also possible the water entered the void and simply drained/soaked into the soil, leaving the soil damp. I accept there's no evidence that's what happened either. But as I've said above, it's for Mr M and Mrs Q to show in the first instance that their loss was caused by flood. It isn't for IICH to show that it wasn't.

With that in mind, it remains my view that it hasn't been shown the damage was caused by flood or by any other insured event. So I conclude that IICH treated Mr M and Mrs Q fairly when it declined their claim.

my final decision

I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr M and Mrs Q to accept or reject my decision before 28 February 2018.

Paul Daniel
ombudsman